DIAGNOSTIC TOOLKIT · SELF-ASSESSMENT

P&L Fluency for Senior Engineering Leaders

A 10-point self-assessment for technical managers moving toward general management: balance-sheet reading, capital allocation, cost structures and board-level financial communication. Twenty minutes, scored honestly, mapped to development actions.

AUDIENCE	Senior engineering and technical directors preparing for business-unit or P&L responsibility
FORMAT	10 scored items, 0-3 each; interpretation bands; development map
PAIRS WITH	Individual Executive MBA Prospectus; From Specialist to General Manager (Pillar 1)

10-POINT SELF-ASSESSMENT

HOW TO USE THIS

1. Instructions

Score each item from 0 to 3 against the anchors given. Score what you could actually do in a meeting tomorrow, not what you roughly remember from a course. The value of this instrument is the gap map it produces; flattering yourself defeats it.

SCORE	ANCHOR
0	Unfamiliar: I would have to look this up or ask someone
1	Aware: I understand the concept but could not apply it unaided
2	Capable: I can apply it to my own area with occasional support
3	Fluent: I can apply it and explain it clearly to senior management

Academic project prototype, Business Marketing (M3) Group 4, TAPMI Bengaluru. Programme designs, fees and schedules are student proposals for evaluation only; not an approved TAPMI offering.

THE ASSESSMENT

2. Ten items

1 Reading a P&L statement

Given your business unit's monthly P&L, can you trace revenue to gross margin to operating result and name the three lines that moved most?

2 Balance sheet structure

Can you explain what your company's assets, liabilities and equity say about its position, and why profit and cash tell different stories?

3 Working capital

Can you calculate how much cash is locked in receivables, inventory and payables in your area, and name one lever that would free it?

4 Margin drivers

For your product or service line, can you separate price, volume and mix effects on gross margin, and say which you influence?

5 Cost structures and break-even

Can you split your area's costs into fixed and variable, and compute the volume or utilisation at which a project breaks even?

6 Capital allocation

Can you build a payback or NPV case for a tool, hire or project, and defend the assumptions behind the numbers?

7 Budgeting and variance

When your actuals deviate from budget, can you decompose the variance into price, volume, timing and one-off causes, then argue corrective action?

8 Unit economics

Can you express your team's output in per-unit terms (cost per feature, per ticket, per deployment) and connect it to company-level economics?

9 KPI trees

Can you draw the chain from your team's operational metrics up to the company's financial KPIs, showing where your work enters the P&L?

10 Board-level communication

Can you present your area's performance and a funding request in financial language, in five slides, without hiding behind technical detail?

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SCORING

3. Interpretation bands

TOTAL SCORE	BAND	READING
0-10	Foundation	Financial fluency is your primary development need. Prioritise structured learning before taking on P&L responsibility; start with items 1, 2 and 5.
11-20	Developing	You have working awareness but gaps in application. Target your two or three lowest items; a programme with applied finance for decision-making will convert awareness into capability.
21-26	**Ready**	**You can operate financially in your current scope. Stretch on capital allocation and board communication (items 6, 9, 10), the skills the next role up rewards.**
27-30	Board-ready	Your development need is breadth, not finance: cross-functional leadership, strategy and people leadership are where to invest next.

Development map

Each item maps to a module area in the companion Executive MBA proposal: items 1-2 and 5 to business foundations (finance for decision-making), items 3-4 and 7-8 to operations and analytics, items 6 and 9-10 to cross-functional decisions and the capstone, where a real business case is built and defended. A structured self-assessment like this one is also the baseline instrument used at nomination in the sponsored pathway, so repeat it at the end of any programme to measure movement.

> **WHAT THIS IS**
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> A self-assessment instrument, indicative only. It benchmarks your own perception against defined anchors; it is not a psychometric test, not validated against a population, and not an admission or hiring tool. Prepared by a student project team for academic evaluation at TAPMI Bengaluru.